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FX RATES UNITED STATES

Why we've changed our Fed and ECB calls

After hawkish decisions this month, we now expect a rate hike from both the European Central Bank and Federal Reserve in December. We now also expect the US 10-year yield to end the year above 5%



Fed Chair Kevin Warsh and ECB President Christine Lagarde. We now expect rate hikes from both central banks in December

We've updated our central bank views

As central bank watchers, we know that predicting what central banks will do is not always the same as what they should do. Wednesday's Fed meeting and last week's ECB meeting have shown us that both central banks are not likely to follow the very dovish path we anticipated. This is why we have changed our calls for the Fed and the ECB, now expecting them both to hike rates one more time before year-end.

In the past, students of monetary policy learnt that it is almost always the Fed leading new cycles of monetary easing or tightening. As a good rule of thumb, Europe, whether via the ECB or, previously, the Bundesbank, would typically follow three to six months later. Perhaps we can blame globalisation, more integrated economies and financial markets or simply the same exogenous shocks, but whatever the reason, this time around presents one of those rare occasions when the ECB is actually leading the Fed.

For the next few months, both central banks seem set to move in tandem. This comes as no surprise, given that both central banks are facing the same dilemma: a supply-side shock

driven by surging energy prices that has so far produced only limited knock-on effects across the broader economy, set against still-fresh memories of the 2022 inflation surge and delayed central bank responses. At the same time, both the US and eurozone economies show an almost unexpected resilience, though to different degrees.

The much longer-lasting war in the Middle East has not only pushed energy prices to new highs, but also increased the risk that inflation could spread more broadly in the economy. This is why we now expect the Fed and the ECB to hike once more, in order to prevent these knock-on effects from materialising.

If energy prices remain higher for even longer, i.e., into 2027, and/or these knock-on effects materialise faster, both central banks could be forced to hike further. However, this is not our base case scenario, even after our forecast revisions. Our more dovish take, based on a reopening of the Strait of Hormuz before year-end and the fact that firms will not be able to pass through higher costs to consumers, still holds.

Our updated central bank forecasts

	Spot (18 Sep)	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	1Q28F	2Q28F	3Q28F	4Q28F
Central bank rates (%)											
US (Upper bound)	4.00	4.00	4.25	4.25	4.25	4.25	4.00	3.75	3.50	3.50	3.50
Eurozone (deposit rate)	2.50	2.50	2.75	2.75	2.75	2.75	2.50	2.50	2.50	2.50	2.50
UK (Bank Rate)	3.75	3.75	3.75	3.75	3.75	3.50	3.50	3.25	3.25	3.25	3.25
10-year bond yields (%)											
US	4.95	5.00	5.10	4.90	4.75	4.60	4.50	4.50	4.50	4.50	4.50
Germany	3.50	3.50	3.40	3.30	3.25	3.10	3.10	3.10	3.10	3.20	3.20
UK	5.26	5.20	5.30	5.20	4.80	4.60	4.55	4.50	4.50	4.50	4.50
EUR/USD	1.1480	1.15	1.16	1.16	1.18	1.19	1.20	1.22	1.22	1.22	1.22

Source: ING

Our new Fed call: One more hike

We had switched to expecting a September Fed rate hike in the wake of Chair Kevin Warsh's hawkish Jackson Hole address, but characterised it as a likely one-off recalibration move akin to the single hike delivered by Alan Greenspan's Fed in 1997. However, the fact that only two FOMC members believe the central bank won't hike again this year suggests a broader hawkish repositioning has already occurred within the committee.

This has not been driven by economic data. The low-hire, low-fire labour market is keeping a lid on wage growth, which in turn should limit the scope for second-round price effects from higher energy costs. Meanwhile, tariff-related cost increases have largely worked through, with IEEPA tariff refunds providing a cash flow boost to corporate America. The largest component of inflation, shelter, is also looking less threatening, with the stagnant property market contributing to cooling housing rent metrics. We also remain sceptical of so-called "chipflation" given the small weighting within the inflation basket for impacted categories of goods and the

fact the US uses hedonic pricing, which incorporates quality improvements into price calculations.

Instead, it appears the Fed is increasingly focused on accelerating the pace at which inflation converges on the 2% target, fearing the protracted conflict in the Middle East will keep energy-impacted components elevated for longer and risk broader cost increases if left unchecked. We now expect this to mean at least one more rate rise.

In terms of timing, there are two more meetings this year. The first is 28 October, but we only have one round of jobs and inflation data between now and then; the proximity to the mid-term elections on 3 November could also prove a complicating factor. Unless the September jobs numbers and inflation data are very hot – which would leave little choice on a hike – we suspect the Fed would prefer to wait until 9 December.

Only 4 of 18 FOMC members anticipate the need for two hikes this year, but eight do expect a second hike next year. That is going to be contingent on the energy story. Our assumption of a Middle East de-escalation, improved energy flows, and lower prices over the next six months would likely mean an additional hike would not be needed – and as such, we forecast a peak of 4.25% followed by a prolonged pause.

Economic growth remains resilient, but the hefty upward moves at the long end of the yield curve will act as a brake on economic activity in an environment where real household disposable incomes have flatlined for 18 months. There are already signs of consumer stress in the form of low savings rates and rising credit card and auto loan delinquencies to levels last seen during the Global Financial Crisis. The lack of business capex growth outside of the tech sector also underscores the concentration risk within the US economy right now. As a result, we tentatively suggest we could start to see the Fed reversing course again from late 2027, particularly if energy prices are experiencing significant falls by then.

Our new ECB call: A December rate hike

Last week's ECB was not outright hawkish but more subdued and subtle hawkish. Christine Lagarde's downplaying of the concept of neutral interest rates can be seen as a way to prepare the grounds for further hikes. The fact that the staff projections see headline inflation only dropping below 2% in Q4 2027, while at the same time core inflation is expected to increase slightly were also hidden hawkish messages. At the same time, though, there are currently no signs of knock-on effects from higher energy prices. The risk is high that the ECB's own models are not fully capturing structural shifts and are overestimating the broadening of inflation in the economy.

Still, oil prices above 100 USD/bbl and the ECB still regretting its too late response to the inflation shock in 2022 are likely to push the ECB towards another rate hike before year-end. A hike that would still fall in the category 'insurance rate hike', with an increasing risk that

unwarranted damage to the economy could be done.

Looking beyond the next hike, we still think that market expectations of at least two more hikes in 2027 are overdone. It won't take a lot to undermine the picture of eurozone resilience. A picture that is too obvious also painted in the last ECB projections. GDP growth estimates of 0.3% to 0.4% quarter-on-quarter throughout 2027 and 2028 look highly optimistic. We wonder whether there shouldn't be more of an adverse effect on growth from higher oil prices and higher interest rates. Already next week's sentiment indicators (PMIs and Ifo) could change the picture of unbreakable resilience.

As long as there is only very limited spreading of the energy price shock to the rest of the economy, there is very little reason for the ECB to continue hiking next year. Every additional rate hike increases the risk of an unwarranted slowdown of the economy. If we are right and oil prices come down towards the end of this year and knock-effects from higher energy prices remain limited, we don't see additional rate hikes in 2027. If we are wrong, the story could clearly change.

Our Bank of England call: A hold in November (just)

We're sticking to our Bank of England call, which is that rates stay on hold into 2027. But this is entirely contingent on energy prices coming lower.

The Bank is still visibly reluctant to hike rates, partly because there's no sign of second-round effects, and partly because rates are more obviously restrictive than in other economies – particularly with the degree of tightening priced into financial markets.

But at its September meeting, the Bank made it abundantly clear that it's getting harder not to act. It has indicated that at current energy prices, inflation is likely to narrowly top 4% early next year, if only briefly. And the Bank has said previously that 4%+ inflation is statistically more likely to trigger a wider and more persistent price shock.

If that forecast is maintained at the November meeting because energy prices have failed to come down, then we would expect a BoE rate hike. In that scenario, we'd expect a follow-up hike in the spring.

That 4% inflation forecast is not inevitable. A lot of it rests on the uprating of the regulated energy price cap in January, which in turn depends on average natural gas prices over an 'observation window' between mid-August and mid-November. If nothing changes, we're looking at a 25% increase in energy bills at the start of 2027, but we're only a third of the way through that window. A fall in gas prices would temper that increase and therefore the overall peak in headline inflation.

Given our call for natural gas and oil prices to move lower through 4Q, we think our existing call for the Bank of England to keep rates on hold into 2027 is still valid for now. We are, however,

pushing back our forecast for the first rate cut to 3Q next year.

Rates: Direction to come from US Treasuries (10yr from sub-5% to 5.25% to 4.5%)

We've nudged higher anticipated end-year 10yr bond yield forecasts. It's a subtle move, but significant in the sense that it brings into play some key levels. In the US, the key number for the 10yr is now 5.1% at year-end, while for the eurozone we're in the 3.5% area for long-tenor rates. These levels are not wildly different from where we are now, but importantly, leave open the risk that some overshooting can occur in the intermediate period. That's a particular theme for the US 10yr where we've already closed above 5% twice in recent days. We're back below now, but we identify ongoing upside pressure for US long rates as a theme in the coming months. The eurozone has tended to share such moves, and will maintain a tendency to do so. Japanese long rates too should remain under pressure, and the same obtains for long-dated UK Gilts.

Front ends have been pricing in sequences of rate hikes for some time now, across all four major central banks. Specifically, so-called "carry spreads" (official rates to the 2yr) in the 75bp to 100bp range signalled market readiness for the delivery of a "few" hikes by central banks, without specificity on timing. This remains the case, with carry spreads of 65bp, 75bp, 90bp and 95bp for the ECB, Fed, BoE, and BoJ respectively. Think of neutrality at around 30bp, and anything above that as an implied market rate hike discount. The actual delivery of rate hikes is important, as it validates the prior evolution of carry spreads and, in turn, acts as a calming influence for long-end rates. We saw some of that play out as the Fed hiked by 25bp and intimated more. It helped calm long-end inflation expectations and take the US 10yr yield back below 5%.

However, even if inflation expectations have nudged lower, there are other pressures that long ends need to contend with. The first is issuance pressure, or more pertinently, the medium-term issuance narrative stemming from fiscal largesse; we can throw in long-duration hyperscaler issuance as a contributing factor, too. That's the "bad". Then there's the "ugly", in the guise of ongoing energy price pressure stemming from the Iran war. And there is the "good". Higher real rates have been an important driver, and a part of this likely incorporates AI-driven productivity growth. If that last bit was the central driver, we'd have little to worry about. But it's the other, more sinister factors that have predominantly sparked long-end market jitters. There's no doubt that central bank rate hikes help calm such jitters – but they do not make them disappear.

It took some time, but markets have finally developed a laser focus on deteriorating debt dynamics and medium-term financing concerns, particularly in the US. It's not impossible that we get through the coming months without another significant move higher in long-end yields. However, the balance of probabilities suggests there is at least one more leg of long-

end weakness still to play out. In an extreme scenario, this could take US 10-year yields into the 5.25% to 5.5% range. Other markets would likely move in tandem, mapping out similar, albeit less dramatic, blow-outs. Thereafter, we would expect a period of calm, particularly through 2027, as inflation ultimately heads lower. But first, we need to get through 2026.

FX: Short-term downside risk, but EUR/USD profile unchanged

EUR/USD currently has three primary drivers: short-term rate differentials, oil prices and global risk sentiment. Let's look at how these can change and impact the pair in the coming quarters based on our updated views.

1. **Short-term rates (neutral impact).** The EUR and USD swap rate curves look quite similar in their front-end segment – the most relevant one for the currency market. In both countries, rates are expected to be around 70-80bp above current levels at the end of 1H27. While we've revised our central bank calls higher, we remain firmly more dovish than those expectations. One hike each for the ECB and the Fed means similar dovish repricing in both curves in the next couple of quarters. The short-term rate impact on EUR/USD should therefore remain close to current levels into year-end and then gradually tighten throughout 2027. That implies an initially neutral and then gradually positive impact on EUR/USD.
2. **Oil prices (positive impact).** The premise of our dovish rate calls relative to the market is that oil prices will come lower and take the pressure off central banks. Our commodities team still targets an \$80/bbl average for 4Q26. While the oil-EUR/USD correlation can weaken in an energy price decline, it should support the pair on the margin.
3. **Risk sentiment (positive impact).** With the caveat that tech-related jitters can re-emerge at any time, the decline in short-term USD funding costs included in our forecast normally has a positive knock-on effect on FX liquidity and global market sentiment. Lower oil prices would also help in that direction. We expect a positive impact on EUR/USD in our baseline.

Taking all the above into account, we aren't changing our forecast for year-end in EUR/USD: 1.160 is fully in line with the scenario outlined for these drivers according to our calculations. However, risks are more skewed to the downside in the coming weeks.

We feel that the Fed's hawkishness has left EUR/USD more vulnerable, and 1.140 can certainly be tested, with risks extending to the 1.132 June lows if oil prices jump again and the Fed hikes rates in October. Looking at 2027, risks are also on the downside relative to our latest [forecasts](#), which included a move to 1.20 by year-end. That's due to the highest carry attached to USD after two more hikes. That said, if markets start to price in Fed cuts late next year, a broad-based dollar decline remains very possible.

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UNITED STATES

US manufacturing revival gathers pace despite tariff and energy headwinds

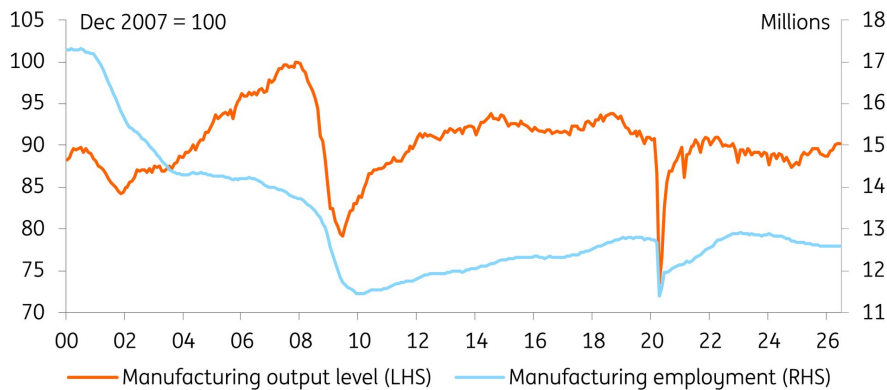
After three years of stagnation, US manufacturing appears to be on an upswing as production and order books gain momentum. Tariffs and energy costs pose challenges, but trends in reshoring, AI/robotic technologies and rising defence spending provide reasons for longer-term optimism



The revival in US manufacturing is being led by the tech sector, including Google data centres (pictured above)

The US manufacturing sector has experienced a torrid couple of decades. Output volumes remain 10% below the peak level hit just before the Global Financial Crisis in December 2007. The sector employs a million fewer workers than it did 20 years ago. Reasons for this poor performance include consumer demand preferences shifting ever further toward services over physical goods, underinvestment in advanced production facilities relative to international competitors, high US labour costs and the removal of trade barriers allowing foreign manufacturers to gain market share.

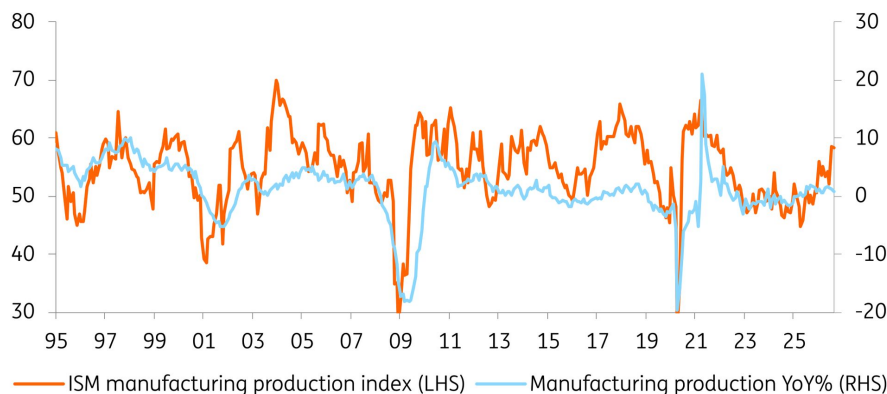
Manufacturing output levels and manufacturing employment



Source: Macrobond, ING

Nonetheless, the sector has shown genuine signs of a revival over the past year. The ISM production index has moved from sub-50 contraction territory to signalling robust growth ahead. Below, we look at what is driving this turnaround and how it could evolve.

ISM production index points to an ongoing manufacturing output upturn



Source: Macrobond, ING

Tariffs remain President Trump's primary tool

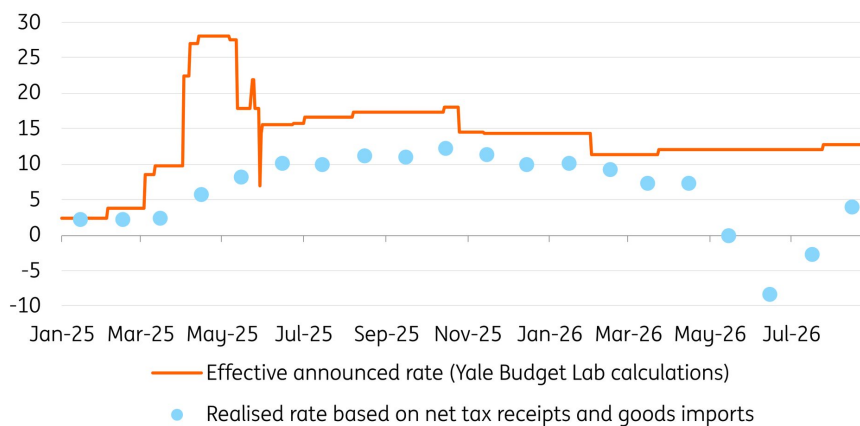
Reviving manufacturing has been top of mind for all recent presidents. In his first term, President Trump's solution was to impose tariffs on Chinese-made imports along with sector-specific levies. The rationale being that this would boost the price competitiveness of US manufacturers in key sectors. Yet it failed to generate the desired turnaround. Initiatives from President Biden similarly yielded little benefit.

In his second term, President Trump doubled down, initially announcing 25% tariffs on steel and aluminium, and then a 25% tariff on auto parts before launching into his 'Liberation Day' tariffs in April 2025 that dramatically expanded coverage.

Invoked under the International Emergency Economic Powers Act (IEEPA), individual tariff rates changed based on a trading partner's willingness to open markets to US manufacturers and guarantee investment within the US. The chart below shows that the realised tariff rate undershot the calculated implied average tariff rate based on the full-year 2024 import mix.

Reasons for this include import substitution via switching to lower-tariffed foreign suppliers, a surge in tariff-exempt high-tech imports, and better USMCA compliance. This means a greater proportion of Canadian and Mexican trade qualified for tariff exemptions, and some modest evidence of switching towards US-made products.

Effective announced tariff rates versus realised tariff rates (%)



Source: Yale budget Lab, Macrobond, ING

The Supreme Court ruled against those tariffs in late February. In response, Trump swiftly invoked Section 122 of the 1974 Trade Act. It allows tariffs of up to 15% for as long as 150 days before the US Trade Representative launches Section 301 investigations. The end result is 10% tariffs on 14 countries, including the EU, Mexico, Canada and the UK, with 46 other countries, including imports from China, Japan and India facing a 12.5% tariff. This, in itself, is a lower tariff regime under the IEEPA system.

Given several important tech and medical categories are exempted, we expect the realised tariff rate to come close to 7%. This is a less onerous environment than 12 months ago. Moreover, importing companies' cash flows are being boosted by the Supreme Court's decision to insist that the \$166bn of IEEPA tariffs be fully refunded. That means the realised tariff rate temporarily fell into negative territory in July, as IEEPA refunds more than offset all other tariff charges.

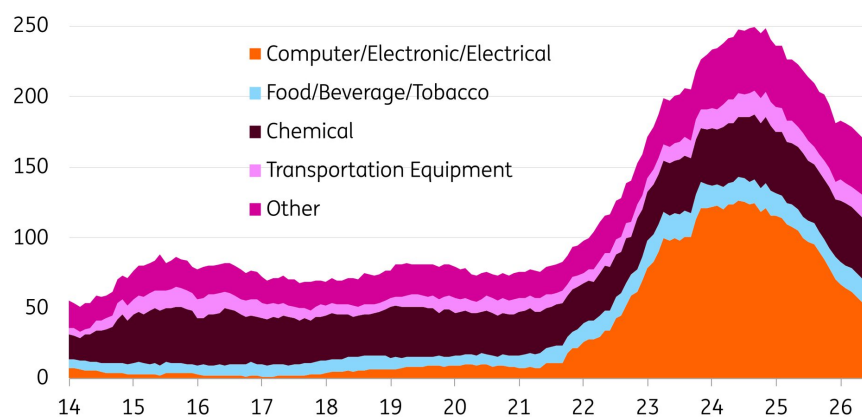
Reshoring yet to show up in construction activity

Citing the effectiveness of tariffs, the Administration has touted the "[largest reshoring wave in American history](#)". It points to a four-year high for the ISM manufacturing index while

employment in the manufacturing sector rose 58,000 in the first eight months of this year. Amid pledges from corporate America to invest more in the US, the National Association of Manufacturers reported that foreign direct investment in US manufacturing reached a new record level in [2025 of \\$2.5tr](#).

Yet manufacturing-related construction activity does not reflect this positive narrative. Manufacturing construction spending peaked in September 2024 at an annualised \$249bn and currently stands at \$170bn. We've seen a sharp slowdown in construction activity in the computer, electronics and electrical sector from \$126bn to \$57bn over that same period. That follows the conclusion of the CHIPS and Science Act from the previous Biden Administration, which provided nearly \$53bn to boost the domestic semiconductor industry. Strip out this sector and construction activity tied to the rest of manufacturing has changed little over the past two years. So, despite commitments from business leaders, little evidence suggests that a reshoring boom is underway just yet.

Manufacturing sector construction spending (\$bn)



Source: Macrobond, ING

While tariffs may improve the relative cost comparison versus foreign products, the National Association of Manufacturers states that in 2024, manufacturing employees earned an average of \$106,691, including pay and benefits. That is substantially higher than the average cost of employing someone in China, South Korea and even Germany. This suggests that for manufacturing reshoring to make sense, it would be tied to companies that are highly automated with high value-added production. Alternatively, there could be an appetite to reshore where consumers are willing to pay the premium for a 'Made in America' label or where security of supply chains is an imperative.

Sectors most likely to receive a boost include technology, transport and aerospace, electric vehicles, clean energy and pharmaceuticals. The latter is where we have seen the largest announcements, with Johnson & Johnson's \$55bn investment spending plan over the next four years and Eli Lilly announcing a \$27bn investment in its US manufacturing operations.

And in solar manufacturing, tariffs, price floors, and China-focussed trade restrictions are supporting the expansion of US manufacturing across the value chain.

While the construction numbers aren't showing any uplift yet, it takes significant time to get planning in place. Advanced manufacturing plants also take a long time to construct. Intel, for example, suggests it takes three to five years with 6,000 construction workers at a cost of \$10bn to build a new factory. An aluminium smelter takes two to three years for construction, in addition to the time needed to design and secure planning approval. Significant infrastructure is also typically required for all new manufacturing sites, including power, road, rail and water, adding to the cost of reshoring.

The Middle East conflict and energy prices

Restrictions on shipping through the Strait of Hormuz have raised concerns about energy shortages, higher prices and potential production disruption for manufacturers globally. However, the US is better positioned to manage those challenges than European and Asian competitors. The US produces more energy than it consumes. Oil prices are set in global markets and push up the cost of gasoline and diesel, with freight costs consequently increasing in the US and elsewhere. However, the US is in a better position relative to foreign competitors in terms of natural gas. Abundant domestic production is keeping prices well below long-run averages.

This has a knock-on effect: lower electricity prices vis-à-vis other countries, which should give US manufacturers a cost advantage over foreign peers. US-based companies involved with steel, metal and glass production – heavy industries that require high-temperature processes – and agriculture and fertiliser production, which use natural gas to convert into nitrogen fertilisers, should be relative winners on the global stage. Similarly, the availability of natural gas, used as a feedstock to create products such as plastics, should give a competitive boost for US manufacturers.

Nevertheless, electricity-intensive manufacturers could come under pressure as AI-driven data centre growth drives up power demand. For example, Emirates Global Aluminium and Century Aluminium are planning a 750,000-ton aluminium smelter in Oklahoma, the first new US smelter in almost 50 years. The facility would double current US aluminium output, but may face challenges competing with data centres for power.

Financial conditions are a headwind

Borrowing costs have risen in response to elevated energy prices and a belief that the Federal Reserve is set to tighten policy and keep interest rates higher for longer. In an environment of substantial government fiscal deficits and anxiety about debt sustainability, US longer-dated Treasury yields have pushed above 5%. Corporate bond spreads have tightened, but not by enough to prevent an overall rise in borrowing costs. Moody's 10Y Aaa corporate debt

benchmark index is pointing to a 56bp increase in borrowing costs since the start of the year.

Mortgage rates, auto loans and credit card borrowing costs all increased for similar reasons. This will act as a brake on economic activity over time. Auto loan and credit card delinquencies are already on par with the rates recorded in the aftermath of the Global Financial Crisis, and the household saving ratio is around 3pp below its long-run average of 6%. As such, this tightening of financial conditions, amplified by the recent strengthening of the US dollar, is a headwind for the sector.

Sector performance diverges markedly

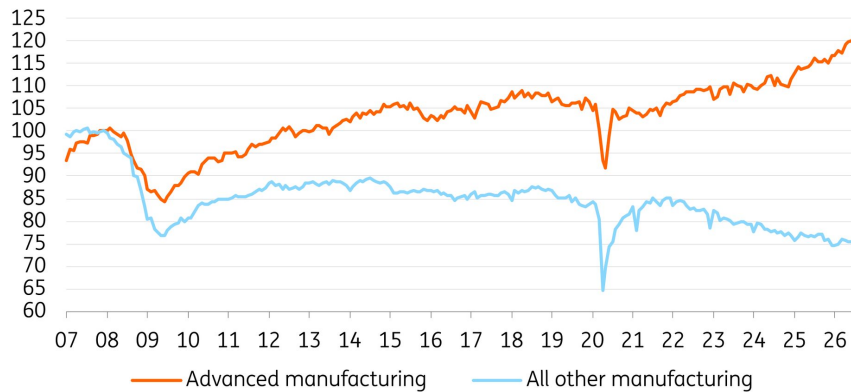
Tariffs and energy security do boost the attractiveness of manufacturing in the US. But so does US economic growth continuing to outperform other key markets. Between 2023 and 2026, the US economy has grown an average of 2.5% year-on-year in volume terms versus 0.9% in Europe.

At the same time, the US Administration believes maintaining the lead in the AI/technology frontier is imperative for both economic and national security, given competition from China. Rapid AI adoption is leading to robust construction of data centres, boosting electricity demand and spurring investment across the power supply chain, from generation and transmission to electrical equipment. In response, gas turbine manufacturers such as GE Vernova and Caterpillar are planning major capacity expansions in the US. ABB has also announced a \$110m investment to expand production of switchgear and other electrical components in Virginia, Puerto Rico, and North Carolina. The Trump administration's focus on expanding US energy dominance and industrial competitiveness is increasing the appeal of manufacturing these in the US.

As we can see in the chart below, high value-added or advanced manufacturing, within which we group tech, electronics, transport and power-related sectors, has significantly outperformed other sectors. We expect this story to continue. We also see defence as a sector that should continue to post strong growth. As more countries increase military spending, US companies may benefit from strengthening order books.

Traditional, labour-intensive, commoditised manufacturing sectors continue to shrink under pressure from foreign competitors. Here, tariffs are not enough to provide the competitiveness boost needed to offset the high cost of producing in the US. These US producers are also often detrimentally impacted in foreign markets by retaliatory tariffs.

Advanced manufacturing versus traditional output (Dec 2007 = 100)



Source: Macrobond, ING

Modest growth disguises growing bifurcation

Business surveys point to strong order books, and we see this supporting manufacturing's ongoing revival. Our volume growth forecast for US manufacturing of 1.5-2% per year over the next three years may not seem like much, but it should be seen in the context of the sluggish activity experienced over the past 20 years. This headline forecast also masks increased bifurcation, with advanced manufacturing growing rapidly while more traditional sectors look set to retrench further.

Highly automated, high-value-added sectors at the forefront of the AI/technology revolution are seen as national champions by the government and are able to absorb the relatively high wages on offer in the US. The desire to incorporate AI advances should, in theory, drive advances in productivity-enhancing initiatives that further support innovation. As such, pharma, tech, transport & aerospace, electrical and power-related sectors should continue to grow robustly.

Lower value-added production, where labour costs make up a greater share of the overall cost base of production, will continue to struggle unless it can garner a 'made in America' premium. Heavy industry, such as steel, is likely to be somewhere in the middle. While costs have risen, they have risen more elsewhere. And the perception of the US as a source of reliable energy, backed by strong political support in a higher-tariff environment, also presents opportunities for growth.

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Article | 24 September 2026

FRANCE

France's confidence rebound is already running out of steam

France's fragile economy faces a double hit as confidence fades and borrowing costs surge



The French economy is likely to continue underperforming the rest of the eurozone

Confidence is fading across the economy

The summer improvement in French confidence proved short-lived. In September, the overall business climate fell to 96, moving further below its long-term average, while employment sentiment weakened and consumer confidence remained exceptionally low. Together, these indicators point to subdued domestic demand, cautious hiring and little momentum heading into the autumn.

The sectoral breakdown confirms this broad loss of momentum. Retail and services reported softer demand and activity expectations, construction remained under pressure, and the wholesale trade outlook deteriorated amid elevated uncertainty. Industry was comparatively resilient, but weaker order books, rising inventories and more cautious recruitment plans suggest that it will not be strong enough to offset the slowdown across the rest of the economy.

This weakness on the business side is compounded by persistently low household confidence. The consumer confidence indicator remained at 86 in September, 14 points below its long-

term average, while households' assessment of past changes in living standards fell to -81, versus a historical average of -49. Expectations improved slightly but remained deeply depressed, and unemployment concerns were still unusually high. Persistent economic and political uncertainty is therefore encouraging precautionary saving rather than stronger consumption.

Taken together, the business and consumer surveys leave France's outlook looking more depressed than that of many other European economies. This means that the French economy is likely to continue underperforming the rest of the eurozone over the near term.

The bond sell-off deepens the squeeze

The sharp rise in French long-term rates adds a new headwind to an already weak outlook. After climbing by around 15 basis points on Wednesday, the 10-year OAT yield rose further this morning, briefly reaching 4.70%, its highest level since 2008. This is roughly half a percentage point above its level at the start of September and reflects both the broader sell-off in eurozone bonds and a growing risk premium on France's fiscal and political outlook.

This increase will gradually feed into the public finances, which are already in a very difficult position. As discussed in [our latest article on France's fiscal outlook](#), the deficit is expected to reach 5.4% of GDP in 2026, after 5.1% in 2025, and could rise to 6.5% in 2027 without corrective measures. Higher yields will not affect the entire debt stock immediately, given its relatively long average maturity, but they will steadily raise the interest bill as debt is refinanced.

The impact will not be confined to the budget. Higher borrowing costs will further constrain household housing investment and the construction sector, while making business investment less attractive. At the same time, a rising interest burden will leave the government with even less room to support activity and increase the scale of the fiscal adjustment required. Against a backdrop of low confidence, this combination is likely to reinforce households' precautionary saving and companies' wait-and-see behaviour.

These tighter financial and fiscal conditions will therefore make the recovery even more sluggish. We currently expect French GDP growth to average just 0.4% in 2026 before edging up to 0.9% in 2027, supported by somewhat stronger European demand and a gradual improvement in industry and investment. Even then, growth would remain constrained by weak household confidence, a softer labour market and the need for fiscal consolidation.

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Article | 24 September 2026

FX

FX Daily: Hawkish wave to hit Scandinavia today

We expect the Riksbank to deliver a hawkish hold, hinting at an imminent rate hike, which we expect in November. In Norway, we see a rate hike in a close decision. NOK faces greater upside than SEK as markets and consensus are more split regarding Norges Bank. Meanwhile, the dollar rally has accelerated, and the move is starting to look stretched



We expect the Riksbank to deliver a hawkish hold today

📉 USD: Rally starting to look stretched

The dollar jumped yesterday, with DXY breaking above 101.0. Very strong US PMIs, higher oil prices and soft risk sentiment have all contributed to the bullish narrative, although the move is starting to look stretched relative to fundamentals. We are cautious in calling for a bottom in the dollar just yet because any upside surprise in upcoming US data releases can easily prompt markets to fully price in an October Fed hike and prop up short-term rates even more. But if this risk doesn't materialise, we expect a correction in DXY in the coming weeks, with a return to the 100-100.5 area.

USD/JPY remains another source of potential downside risk for the dollar. The rapid rally in the

pair may draw Japanese authorities to intervene – remember last week's reported rate check – and that could easily spill over into a weaker USD across the board. Without any intervention, a return to above 160.0 levels looks inevitable after the dovish surprise by the Bank of Japan last week.

Today, focus will be on the summit between President Trump and Chinese leader Xi Jinping. There is a history of Trump striking a more conciliatory tone in face-to-face events, and Scott Bessent has already announced an extension of the trade truce by two months. We're not sure the dollar will respond much to positive US-China headlines at this stage, with any positive effect probably more visible in AUD and NZD. Those could emerge more prominently as proxies for CNY after the People's Bank of China set a weaker fixing for the yuan for the second consecutive day.

Fedspeak also remains firmly on investors' radar, with Williams, Barkin, Hammack and Paulson all due to deliver remarks today. The data calendar is quiet.

Francesco Pesole

↑ **EUR: Downside risks start to shrink**

The break below 1.140 in EUR/USD has sent the pair into stretched undervaluation territory according to our short-term fair value model. That's because short-term rate differentials actually moved in favour of the euro, offsetting the negative impact on fair value from lower equities and oil.

The move was entirely dollar-driven. [PMIs also surprised on the upside](#) in the eurozone, with services rising sharply, which marginally helped the euro in some crosses.

The lack of clear technical support in EUR/USD until the June lows, where intraday spot hit 1.1325-30, means catching the falling knife remains risky for now. However, we don't see the conditions for a break into new lows just yet unless the short-term rate differential widens in favour of USD. A 1.1430-1.1450 level would be more in line with the current environment. So we'd expect a convergence to that area ultimately.

Francesco Pesole

↑ **Scandies: A hawkish hold and a hike**

We expect SEK and NOK to outperform today thanks to a hawkish hold by the Riksbank and a 25bp rate hike by Norges Bank. NOK has more upside potential.

Markets and consensus are fully aligned in expecting no rate change by the Riksbank this morning. As discussed in our [preview](#), inflation has remained muted, even when adjusting for tax distortions. That argues against an urgent move just yet. However, the 2Q growth surprise

reduces the cost of delivering some insurance tightening, in our view, starting from the November meeting. Persistently high energy prices and SEK's weakening add to the pressure building from other central banks – especially the ECB and the Fed – that have started hiking already. We expect hints of imminent tightening and a revision higher in rate projections today.

SEK should get some help from it, but markets are already fully pricing in a November hike and another by February, meaning a decisive turn lower in EUR/SEK will still require lower oil prices and more stable risk sentiment. Upside risks into 11.35-11.40 remain in the near term, but our baseline is for a return to 11.0 by 1Q27.

In Norway (meeting preview [here](#)), inflation rebounded in August, but the underlying measure remained 0.3pp below Norges Bank's June projections. That makes it a close call today, and consensus is equally split between hike and hold. But a good growth outlook and pressure from other central banks' decisions can tilt the balance for a hike in our view. Market pricing is 16bp, allowing some room for NOK to rally from the hawkish surprise. Incidentally, markets are not pricing much more than one hike also into next year, meaning even a hawkish hold could not be dramatically negative for NOK. We think this is the last hike of the cycle anyway. We maintain a near-term EUR/NOK target of 10.70, but are looking at increasing downside risks into year-end.

Francesco Pesole

📉 CEE: Global headwinds keep regional FX under pressure

A new day brings a new direction for the markets. Market sentiment shifted again yesterday, and we saw a strong hawkish repricing across the region; rates across the region and along the curve returned to previous highs. Despite higher regional rates, we observe that rate differentials are actually narrowing or remaining stable. This is currently insufficient to stabilise FX, while the US dollar continues to rally. Coupled with a rebound in global energy prices, this creates an overall negative environment for CEE currencies.

We therefore maintain a bearish bias and anticipate further regional weakness, with the PLN likely to underperform in this environment given the central bank's dovish stance relative to its peers. Today's calendar is light, featuring only consumer confidence data from the Czech Republic – a figure unlikely to impact a market dominated by global narratives.

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Article | 23 September 2026

RATES SPARK

Rates Spark: The overshoot commences

A good series of PMIs has helped nudge global rates higher. It's taken us above some key levels, namely 5.1% on the US 10yr and 3.5% on the Euribor 10yr. And the move is likely far from over. To add insult to injury, we note that debt dynamics don't necessarily benefit from this



Higher rates can lead to wider European government bond spreads

PMIs have their day in the spotlight, and the US Treasury yield tops 5% with some conviction this time

The US composite PMI for September, at 58.4, is knocking on the door of 60. Above 60 has historically been associated with boom circumstances (at least on the ISM). Certainly some areas of the US economy are quite boomie. The Tech sector, for starters. But corporate America too. But that's the antithesis to the Michigan consumer sentiment survey, which has suggested that things have never been as bad. So bad, the data are hard to believe. Two absolute extremes. The US 10yr took note of the PMI, and shot back above 5%, even breaching above 5.1%. And the carry spread (funds rate to 2yr) is back up at over 100bp. Plus, the probability of a rate hike in October has moved above 70%. It feels like Treasuries have decided that enough of this pondering below 5% for the 10yr yield – let's just shoot above as that's where we should be. We have no issue with the move.

As we noted [here](#), it's not impossible that we get through the coming months without another

significant move higher in long-end yields. However, the balance of probabilities suggests there is at least one more leg of long-end weakness still to play out. In an extreme scenario, this could take US 10-year yields into the 5.25% to 5.5% range. Specifically, we nudged higher anticipated end-year 10yr bond yield forecasts. It was a subtle move (was 4.9%), but significant in the sense that it brings into play some key levels. In the US, the key number for the 10yr is now 5.1% at year-end, while for the eurozone we're in the 3.5% area for long-tenor rates. This is where we are now, but importantly, leaves open the risk that we're at the beginning of an overshoot process that has just begun. Now the overshoot risk really comes to the fore, and here we're still just 50bp ish above what we consider to be "normal yield levels".

Better growth is not necessarily good news for European government debt dynamics

[A sound series of PMIs](#) also pushed up euro rates, but this is a double-edged sword – higher rates can also translate to wider European government bond spreads. The spread between French 10Y government bonds (OATs) and German Bunds widened by some 6bp, pushing the spread to well above 100bp. The first stretch of the widening was driven by upside growth surprises in the eurozone, but the last 3bp was due to moves in US rates.

An improving global growth story should in theory support the fiscal outlooks of countries, but only if the improvement is proportional to the rise in rates. Compared to a year ago, the yield on a 10Y Bund is now around 100bp higher. From a debt sustainability perspective, nominal growth expectations should improve by at least 1% to match the repricing in rates. One could argue that markets were too pessimistic on long-term nominal growth expectations last year, but a full percentage point increase is a big increase.

The challenge here is that the rise in rates has been predominantly driven by external forces. US markets have taken the lead in pushing longer-dated real rates upwards, and Japan has also added to that pressure. Meanwhile, oil prices have pushed rates higher on the short end of the curve, but this has spillovers to longer rates too. All these factors can keep upward pressures on euro rates in the near term, even if the growth environment were to weaken.

Thursday's events and market views

After French consumer and manufacturing confidence numbers in the morning, the focus will be on the German Ifo readings. After strong German PMIs, markets will likely look for more promising signs in the expectations component. From the US we have weekly jobless claims numbers and new home sales data.

Italy will auction 2y BTP, 5y BTPei and 11y BTPei for a total of €4.5bn. The US will auction a new 7y Note for a total of \$44bn.

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Article | 23 September 2026

REAL ESTATE BELGIUM

Second-quarter resilience masks a more challenging outlook for Belgian housing

The Belgian housing market remained more resilient than expected in the second quarter of 2026, with a modest increase in prices and a recovery in transactions. However, weaker mortgage production and higher interest rates suggest demand will lose momentum, while higher energy prices could increase the value premium for energy-efficient homes



Belgium's housing market remained resilient in the second quarter, but weaker mortgage lending and higher interest rates point to slower growth ahead

Housing market activity remains resilient, but momentum is likely to weaken

Surprisingly, the Belgian housing market has so far remained relatively resilient amid tensions in the Middle East and the upward pressure they've applied on interest rates. Transactions increased by 2.4% in the second quarter compared with the previous quarter, although activity was still 4.1% lower than in the second quarter of 2025. House prices also continued to rise, increasing by 0.2% quarter-on-quarter and by 5.3% year-on-year.

The underlying picture, however, is less favourable. Mortgage lending remains weak, with the

number of new mortgages in the first eight months of the year still around 10% below the level recorded a year earlier. While the latest housing market figures have surprised on the upside, weaker mortgage activity suggests that momentum is likely to slow in the coming quarters.

Higher interest rates point to a more challenging outlook

Long-term interest rates have continued to rise since the start of the conflict in the Middle East – and as long as it persists, we see little room for a decline. This means that financing conditions are likely to remain restrictive. A fall in energy prices is likely a necessary condition for long-term interest rates easing, although they are still expected to remain above their pre-conflict levels.

While recent housing data has been more resilient than expected, the outlook remains thus challenging. Following three years of real house price declines between 2022 and 2024, 2025 marked a return to positive real price growth. However, in the coming years, we expect the Belgian housing market to gradually cool again, with nominal median house prices increasing by 2.5% in 2026 and 2.0% in 2027.

Higher energy prices could further widen the gap between efficient and inefficient homes

The current environment could once again widen the price gap between energy-efficient and energy-intensive homes. As temperatures begin to fall and energy consumption rises, the financial benefits of energy-efficient housing are likely to become more visible again. The energy crisis of 2022 has had a lasting impact on how Belgian households assess the value of their homes. Before the crisis, strong energy performance was often viewed as an additional selling point. Since then, soaring energy bills, alongside increasingly stringent renovation requirements, have highlighted the financial risks associated with poorly insulated properties.

Recent increases in energy prices further reinforce this trend. Higher energy costs improve the economics of investments in insulation, high-performance glazing and more efficient heating systems by shortening their payback periods. At the same time, stricter renovation standards are encouraging buyers to pay closer attention to future renovation costs when making purchasing decisions.

While we expect the Belgian housing market to lose some momentum in the coming quarters, demand for energy-efficient homes should remain relatively resilient. Energy efficiency is increasingly valued not only for its ability to reduce energy expenses, but also as a hedge against future energy price shocks and regulatory risks. As a result, energy performance is becoming an increasingly important determinant of both a property's value and its long-term marketability.

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Article | 23 September 2026

COMMODITIES DAILY

The Commodities Feed: Brent drops below \$100

Oil prices continue to retreat as expectations of increased Saudi crude exports, progress in US-Iran talks, and a larger-than-expected rise in US crude inventories help ease supply concerns



Energy – Saudi pipeline restart weighs on oil prices

Oil prices fell sharply on Wednesday, with Brent dropping below \$99/bbl and WTI trading near \$89/bbl. The sell-off was driven by expectations of rising Saudi crude exports, diplomatic progress between the US and Iran, and a larger-than-expected build in US crude inventories, all of which helped ease concerns over Middle East supply disruptions. Brent has now declined for six consecutive sessions, its longest losing streak since August 2025, bringing cumulative losses to more than 9.5%.

Saudi Arabia has restarted operations at its East-West pipeline and could soon resume exports from the Yanbu terminal. The route, which bypasses the Strait of Hormuz, has a capacity of around 7m b/d and is expected to gradually restore lost export flows, potentially increasing global crude supplies in the coming weeks.

On the geopolitical front, President Donald Trump described recent discussions with Iranian officials as "very productive", raising hopes for further diplomatic progress and reducing fears

of prolonged supply disruptions in the region. Despite the recent correction, oil prices remain more than 60% higher year-to-date.

Additional pressure came from the latest API data, which showed US crude inventories rose by 1.7m barrels last week, compared with expectations of a 578k-barrel draw. Meanwhile, gasoline and distillate stocks each fell by 2.2m barrels. The market will now look to the EIA inventory report later today for confirmation.

US natural gas prices extended gains for a second session, with Henry Hub futures trading above \$3/MMBtu. Prices were supported by lower production in the Lower 48 and forecasts for cooler temperatures across the Northeast, which could boost heating demand. However, potential storm-related power outages may limit the increase in gas consumption.

Metals – Strong demand drives Chinese gold imports

Chinese gold imports rose 39.3% year-on-year to 141.7 tonnes in August, taking year-to-date imports to a record 1,141.2 tonnes, up 72.2%. Lower gold prices, a stronger yuan and persistent domestic price premiums encouraged inflows, while banks also drew on remaining import quotas under the licensing regime introduced by the People's Bank of China in June. Chinese gold ETFs added around 44 tonnes through August, an 18% increase from the start of the year, according to the Shanghai Gold Exchange, while global ETF holdings were broadly unchanged.

LME copper extended gains for a sixth consecutive session on Tuesday, its longest winning streak since May, before retreating slightly Wednesday morning, as tight physical market conditions in China continued to support prices. Falling inventories, holiday-related restocking and seasonal demand ahead of the Mid-Autumn Festival and National Day holidays boosted consumption. Shanghai copper cathode inventories fell by 14,700 tonnes to 43,900 tonnes, the lowest level since December 2023. While imported copper arrivals have increased, most material has flowed directly to fabricators rather than warehouses, keeping spot supplies tight.

Indonesia's Morowali Industrial Park (IMIP) has instructed nickel pig iron producers to curb output as El Niño-related drought conditions strain water supplies needed for processing operations. The cuts could affect around 100,000 tonnes of NPI production, compared with the park's annual capacity of roughly 4.2 million tonnes.

Investor positioning across base metals remained subdued. According to the latest COTR data, net bullish copper positions fell by 3,981 lots to 42,132 lots, the lowest level since late March and marking a sixth consecutive weekly decline despite higher prices. Aluminium net longs dropped by 11,623 lots to 77,423 lots, driven largely by long liquidation, while zinc net longs fell by 2,787 lots to 29,946 lots, extending their decline for a fourth straight week.

Agriculture – Ukraine completes wheat harvest

Ukraine's grain and legume harvest reached 33mt as of 22 September, up 10% year-on-year, with 7m hectares harvested, equivalent to 61% of the planned area. Wheat harvesting is now complete, with production rising 11% year-on-year to 25.3mt. Corn harvesting remains at an early stage, with output reaching 340kt from 68k hectares, compared with 389kt produced at the same point last year.

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Article | 23 September 2026

FX

FX Daily: Dollar resilience builds

The dollar has remained firm despite oil and global risk sentiment arguing for a correction. Hawkish Fed speak remains key, and this week underscores the risk that falling oil prices may offer little support to EUR/USD, as markets may be more willing to stick with Fed hike expectations than with the ECB's in an oil price decline. USD upside risks persist



Markets found little direction in Trump's UN address on Tuesday

➔ USD: Staying strong

The dollar continues to show very good resilience to lower energy prices and a risk-friendly environment. It's another sign that the Fed story is dominant, and the hawkish Fed speak is enough to keep USD in demand. Richmond Fed President Thomas Barkin, who becomes a voter in 2027, reinforced that message yesterday, arguing that a single rate hike may not be enough to bring inflation under control. He also noted that resilient labour market conditions should keep consumer spending supported, implying that a dovish shift among the hawks may require clearer signs of labour market softening.

But high-frequency jobs indicators have remained strong. Initial jobless claims are back below 200k and ADP reported a bump in weekly hiring to 20k at the start of September. Consensus is starting to build around a strong September payroll print – around 80-100k.

Geopolitics had a limited impact on FX yesterday. President Trump's UN speech generated few clear market signals, while constructive talks with Iranian delegates and the reopening of the Saudi East-West pipeline pushed Brent below \$100/bbl. Whether this evolves into a more sustained decline remains to be seen. From a rates perspective, oil floating around the \$90-100/bbl range is unlikely to force a dovish rethink in market expectations.

We'll be awaiting more headlines from New York ahead of tomorrow's Trump-Xi meeting. The Fedspeak agenda is quiet today, and the data calendar only includes S&P Global PMIs, which matter less for markets than the ISM surveys. We retain the view that the dollar faces upside risks over the next couple of weeks, when a revamp of data releases can prompt markets to add bets on an October hike. In that context, DXY reaching 101.0 remains a very achievable near-term target.

Francesco Pesole

➔ **EUR: Still downside risks**

EUR/USD is starting to look a tad cheap, as global equities support the pair's short-term fair value. Still, we see little technical justification for fading the current decline before 1.140-1.142, where EUR/USD would be breaching a 1.5 standard deviation misvaluation band, assuming rate differentials remain unchanged.

This week underscored another risk: when oil prices fall, markets may price out ECB tightening faster than Fed tightening. That was a major drag on EUR/USD in June, and any hint of a dovish rethink from ECB speakers could trigger a leg lower.

The next few weeks will determine whether either the ECB or the Fed goes for an October hike. While we still expect the next move from both central banks to come in December, any earlier tightening appears more likely to come from the Fed than the ECB. That leaves the balance of risks skewed to the downside for EUR/USD.

Eyes will be on PMIs today, which in the eurozone have greater monetary policy implications than elsewhere. Expectations are for a slight softening in the eurozone-wide composite gauge from 52.0 to 51.7. Let's see whether budget concerns in France and political developments in Germany have had any impact on sentiment. Meanwhile, the ECB speakers' calendar remains busy today.

Francesco Pesole

⬆ **HUF: A well-paused decision**

The National Bank of Hungary meeting [delivered](#) exactly what the market expected – a pause in the rate-cutting cycle and a reduction of the inflation target from 3.0% to 2.5%. From the market's perspective, this was a case of ticking boxes that had been anticipated since the April

general election. The market remained virtually unchanged in front-end rates following the NBH press conference, with pricing in less than one rate cut over the next 6-9 months, assuming a positive BUBOR spread over the NBH key rate. The curve has flattened significantly over the past two weeks, aligning with our earlier expectations outlined in our NBH preview.

Nevertheless, we see scope for further flattening, even though the curve is already deeply inverted. At the same time, the front end offers a buffer against a potential geopolitical escalation or a spike in energy prices. We believe the market would not hesitate to price in rate hikes at the front end of the curve if energy prices rise again and Hungarian inflation climbs in the coming months (NBH forecast of 3.1% average inflation for next year). Meanwhile, the long end still offers room for convergence trades, and long-term yields should grind lower.

The combination of a lowered inflation target and a halt to rate cuts creates a very positive environment for the FX market. On the other hand, the global backdrop remains largely negative, despite the recent relief rally. The US dollar is at record strength, EUR/HUF remains highly sensitive to energy prices, and Fed rate hikes could trigger renewed pressure on emerging market currencies, which have shown remarkable resilience so far. The overall picture is thus very mixed, and global factors could easily take the driver's seat. Although our bias remains bullish for the forint, and we could retest the 360 EUR/HUF level, further developments are heavily dependent on global factors at this moment.

Frantisek Taborsky

➔ CEE: FX stability masks diverging rate outlooks

The region is benefiting from improved global sentiment and lower energy prices, prompting markets to scale back expectations for aggressive rate hikes. Czech rates, the most hawkish in the region, price around 100bp of tightening, versus 85bp in Poland. Today's calendar is again light, with only August Polish labour market data due. Despite continued rates volatility, FX remains stable. In our view, opposing forces are broadly balancing out and keeping CEE currencies steady: a stronger US dollar is weighing on the region, while improved sentiment and lower energy prices have yet to offset its impact.

Local drivers remain limited this week, and fresh catalysts may take time to emerge. We expect a more hawkish CNB to push EUR/CZK lower again, but this is unlikely in the near term unless Friday's minutes strike a surprisingly hawkish tone. By contrast, we see further upside in EUR/PLN given the central bank's dovish stance. Potential government measures to cut petrol prices could complicate the outlook: if approved, they might allow the central bank to postpone rate hikes, while also weakening the interest-rate differential and putting downward pressure on the zloty.

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Article | 22 September 2026

RATES SPARK

Rates Spark: Asymmetric relationship between oil and rates

Markets are following a similar pattern as before, which means euro rates don't follow oil back down as quickly as they followed on the way up. This limits the downside potential we see for euro swap rates in the near term. Slowing growth could push back against hawkish pricing, but in our baseline we see eurozone economic resilience



With oil prices easing of late, euro rates have not followed back down as quickly

Asymmetric reaction to oil keeps rates higher

Oil prices have eased from the recent highs, but the short end of the euro curve sticks to a relatively hawkish outlook. The last time oil hovered around \$100, the 2Y swap rate was some 20bp lower. This is a familiar pattern, whereby up and down movements in oil have an asymmetric impact on rates. When oil prices hit new highs, the inflation impact leaves a lasting impact on inflation expectations, limiting the rate moves on the way down.

The asymmetric oil impact means the downside to euro rates could be limited over the near term. The European Central Bank keeps striking a hawkish tone, which supports the steep hiking profile. Also, the growth outlook remains robust, with eurozone PMIs mostly above 50 points. Having said that, we do anticipate some economic headwinds on the back of higher oil and gas prices. But given the resilience thus far since the start of the Iran war, our baseline remains for the economy to remain robust in 2026 and 2027.

A worsening growth outlook could, however, be a catalyst for a dovish repricing, but also not immediately. Even if we were to see disappointing PMI figures for the eurozone this week, the focus is on inflation. That doesn't mean we can just ignore growth dynamics. The big fear for central banks is that higher inflation materialises through accelerating wage growth. A weakening growth outlook would mitigate this risk. Having said that, the very positive sentiment – see almost record equities – will limit markets' sensitivity to one-off downside growth surprises.

Wednesday's events and market views

The highlight will be country PMIs. The eurozone composite index is expected to tick slightly lower, but remain well in positive territory at 51.7. Consensus also sees relatively strong UK and US PMIs, both well above 50.

In primary markets, Slovakia will syndicate a new 10Y SLOVGB for an estimated €2-3bn. Germany will auction 21Y and 30Y Bunds totalling €2bn. From the US, supply includes a 2Y FRN for \$28bn and a new 5Y Note for \$70bn.

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Article | 21 September 2026

RATES FRANCE

France's elusive €54bn fiscal fix

France's fiscal position is worse than expected, and the government has not yet presented a fully documented response. Debt will keep rising, while political fragmentation means that a credible long-term solution is unlikely to emerge soon



France's fiscal position continues to deteriorate and there appears to be no long-term solution

A much tougher starting point for 2027

France's fiscal outlook has deteriorated again. The government now expects the public deficit to reach 5.4% of GDP in 2026, up from the 4.6% objective set at the start of the budgetary process and the 5.1% recorded in 2025. Weaker activity plays an important role in the explanation. The government has cut its 2026 growth forecast from 1% to 0.5%, reducing tax revenues, while energy-related support measures and higher interest expenditure have increased public spending.

The starting point for the 2027 budget is even more challenging. According to the government, the deficit could reach 6.5% of GDP without new corrective measures, as ageing-related expenditure, indexed pensions and benefits, debt-servicing costs and other commitments continue to rise, while temporary tax measures expire or are reduced. The required adjustment has also increased substantially: debt-servicing costs alone are expected to rise by around €10bn in 2027. A growing share of any fiscal effort will therefore be needed to offset higher interest expenditure.

A €54bn ambition, but few details

Prime Minister Sébastien Lecornu has announced a budgetary effort of around €54bn to limit the deficit to 5% of GDP in 2027. However, this remains a political objective rather than an adopted or fully documented plan. The government has not explained in detail how the figure was calculated, although some measures are already known.

These include freezing central government expenditure in nominal terms outside defence, restraining local government spending, freezing the civil-service pay scale, limiting increases in some pensions and benefits, saving €2bn on sick leave and extending the temporary corporate tax surcharge at a lower rate. Net public expenditure is expected to rise by 0.7% in 2027, after 1.4% in 2026. Spending would therefore continue to increase, but its share of GDP would decline slightly from 57.1% to 56.9%, despite higher defence and debt-servicing costs.

The adjustment would also rely heavily on revenues. The tax-to-GDP ratio is expected to rise from 43.9% to 44.2%, despite the government's pledge of fiscal stability. No broad-based tax increase has been announced; income-tax brackets would remain indexed to inflation and the corporate surcharge would be reduced. The government expects €1bn from stronger action against fraud and plans to review some tax breaks, but it has not explained where the rest of the additional revenue would come from. The package therefore remains only partly documented.

The €54bn headline also carries a political message. It highlights to French MPs the cost of rejecting the budget or bringing down the government, while warning the next administration about the challenge it would inherit. But adoption is far from certain. Without a parliamentary majority, the government must either negotiate enough support or resort to Article 49.3, at the risk of a no-confidence motion. The 5% deficit target therefore remains an ambition rather than a secured outcome. What is beyond doubt is that France faces a very substantial fiscal adjustment.

Debt is still moving in the wrong direction

This deterioration comes amid an already high debt burden. Public debt reached €3.54tr, or 117.5% of GDP, in the first quarter of 2026, up from 115.7% at the end of 2025. The government expects it to rise further, to 119.3% in 2026 and 121.7% in 2027. Even if the deficit falls to 5% next year, the budget would only slow the deterioration, not stabilise the debt ratio.

This leaves France increasingly exposed to higher refinancing costs. The implicit interest rate on public debt has risen from 1.25% in 2020 to around 2% in 2025. The European Commission's May forecast put it at 2.3% in 2026 and 2.43% in 2027, but the subsequent increase in market yields suggests that the eventual cost could be higher. With average debt maturity at around eight-and-a-half years, the pass-through will be gradual but persistent.

France is drifting further from its European commitments

The new targets represent a substantial departure from France's European commitments. Under the previous fiscal path, the deficit was expected to fall to 4.6% of GDP in 2026, 4.1% in 2027 and 3.4% in 2028, before moving below the EU's 3% threshold in 2029. The new figures for 2026 and 2027 are respectively 0.8 and 0.9 percentage points higher. A deficit of 5% in 2027 would leave France with more than two percentage points of adjustment to deliver in just two years to return below 3% in 2029. Such an adjustment appears highly unlikely, meaning that the commitment no longer looks credible.

A lasting solution will have to wait

France is no longer dealing only with a cyclical budget miss. Lower growth has worsened the near-term figures, but structural spending pressures and a rising interest bill are also widening the deficit. Even if the full €54bn effort is delivered, the deficit would remain far above the European threshold and insufficient to stabilise the debt ratio.

A credible multi-year consolidation plan is unlikely to emerge soon. The presidential election will take place on 18 April and 2 May 2027 and is likely to be followed by parliamentary elections, but there is a high risk that no clear majority will emerge. In that case, even an administration committed to stabilising the debt would struggle to approve and implement the necessary measures.

A different risk is that the next administration may simply choose not to prioritise fiscal consolidation, as some candidates are focusing more on new spending or reallocating expenditure than on reducing the deficit. France's ability to address its debt problem will therefore depend both on the next government's fiscal priorities and on whether it can secure sufficient parliamentary support to implement them.

Charlotte de Montpellier

Bond spreads will remain under widening pressure for now

The widening dynamic of French government bond spreads versus Germany accelerated last week after the government's budget plans again highlighted the magnitude of the problem and the difficult political path ahead. The widely watched 10y benchmark spread topped 100bp, reaching highs not seen since 2012.

On Friday, the rating agency DBRS lowered the outlook on its AA rating for France to negative. The agency Scope downgraded France to A+/Stable and cited the deteriorating fiscal outlook. Moody's, with its rating still at Aa3/Negative, is due to review on 23 October and could be next to lower its rating. One can, of course, view this as catching up with Fitch and S&P, both of which already have France at A+. The stable outlooks for these single-A ratings can also

argue for some reprieve. But the latest actions highlight that patience might be wearing thin after political turmoil that has basically been ongoing since the summer of 2024.

Arguably, a lot of the political and fiscal risk is already priced into the spread. 10y French bonds yield more than 10bp above their Italian counterpart, with debt metrics worse than France, lower ratings but arguably a less uncertain political landscape and a more domestic investor base that is deemed less volatile. Foregone carry also means positioning against France is also a costly affair.

But timelines don't play in favour of French government bonds – the 2027 budget now, the presidential election early next year, likely followed by parliamentary elections and then government formation. That means the positives for spread dynamics will likely have to come from somewhere else. Spreads have shown a greater correlation with oil prices as a gauge of geopolitical tensions. While we still eye an easing of tensions after the US mid-term elections, the Middle East conflict has already dragged on for longer than hoped.

One important backstop to the spread dynamics is the ECB and its Transmission Protection Mechanism (TPI). On paper, the conditionality of deploying TPI looks very strict, but we would argue the ECB has a lot of discretion when the broader market functioning is deemed at risk. However, the hurdle for the ECB to engage in bond purchases might be higher in the current situation where the central bank is focused on inflation and eyeing further tightening.

For now, we are looking at the widest spreads since the sovereign debt crisis of 2011/2013. French 10y spreads over German Bunds peaked just below 190bp back then, and it eventually took Draghi's famous "whatever it takes" in summer 2012 to turn the tide for good. We do not think we will head that far as the ECB precedent has been set. But without any positive developments in the Middle East and/or more encouraging headlines out of the political arena, the 10y spread could occupy a range of 100 to 125bp in the coming months.

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